

Diligence Report — CUSIP 142665GV4

Carlsbad Unified School District (San Diego County, CA) — Election of 2018 General Obligation Bonds, Series B
3.000% coupon, term bond due 2046-08-01 · Cutoff: 2026-06-20

(a) Verdict & buy thesis

VERDICT: CLEAR TO BUY (high-quality, S&P "AA" unlimited-tax GO on an affluent coastal tax base; deep discount is rate-driven, not credit; the only real "catch" — ordinary-income tax on the discount — is already netted in the after-tax yield; the coastal-flood tail is a monitoring item, not a default driver).

This is a voter-approved **unlimited ad-valorem general obligation** bond of one of San Diego County's wealthiest coastal districts. San Diego County is legally **obligated to levy property taxes without limitation as to rate or amount** to pay it; the levy is backed by a **statutory first lien** (SB-222 / Gov. Code §53515); and the County runs a **Teeter Plan**, so the District receives 100% of the secured levy regardless of taxpayer delinquency. Credit quality is **S&P "AA"** at issuance, leverage is light (**direct GO debt = 0.84% of a \$26.7 billion assessed-value base**), taxpayer concentration is low (**largest taxpayer 1.7% / top-20 ~12%**), and the District carries a **POSITIVE** state fiscal certification (FY2024-25). The ~80.96 dollar price is a function of the low 3% coupon in a higher-rate market, not distress — the trade tape shows a regular, two-sided market. The discount accretes as **ordinary income** (de-minimis breached), and the quoted **after-tax taxable-equivalent yield (~8.18%)** already nets that drag.

The thesis: buy a near-AA, statutorily-lien-secured, AI-/wildfire-/quake-insulated cash flow at a deep discount, on a tax base so large and diversified that the one genuine physical question (coastal flood / sea-level rise) touches a small, NFIP-backstopped sliver of it.

(b) Security & pledge — what legally compels payment

Finding: UNLIMITED AD-VALOREM GENERAL OBLIGATION. VERIFIED against the Official Statement.

- **Claim:** It is a true GO, not a COP / lease / certificate / special-tax (CFD) obligation. **VERIFIED** by reading the Official Statement ([raw/official_statement.pdf](#), 258 pp, the \$93,000,000 Carlsbad USD Election of 2018 GO Bonds Series B).
- **The legal mechanism (quoted from the OS cover):** the Board of Supervisors is obligated to levy ad valorem taxes "**without limitation as to rate or amount, upon all property within the District subject to taxation ...** for the payment of principal of and interest on the Bonds when due."
- **Statutory lien (SB-222 / Gov. Code §53515) — quoted from the OS:** "the Bonds will be secured by a **statutory lien on all revenues received pursuant to the levy and collection of ad valorem property taxes ...** The lien automatically attaches, without further action ... and is valid and binding from the time the Bonds are executed and delivered ... enforceable against the District, its successor, transferees and creditors ... **irrespective of whether such parties have notice of the lien** and without the need for physical delivery, recordation, filing or further act." This is the strongest form of muni security: a perfected first lien on the tax stream, ahead of general creditors.
- **Teeter Plan (credit positive):** San Diego County has adopted the Teeter Plan (Rev. & Tax. Code §4701 et seq.); the method "guarantees distribution of 100% of the assessments levied to the taxing entity, with the County retaining all penalties and interest." Result: **taxpayer delinquency does not reduce debt-service cash flow** — the County advances the full levy.
- **Tax status: Tax-exempt.** Bond Counsel (Stradling Yocca Carlson & Rauth) opinion on the OS cover: interest (and original issue discount) is excluded from federal gross income, is **not** an AMT preference item, and is **exempt from California personal income tax**. This is NOT a taxable muni (the taxable-gate signature — odd 3-decimal coupons near par — is absent; this is a clean 3.000%).

There is **no insurance wrap**; the credit rides on the District's own unlimited-tax pledge + the statutory lien (no rating-conditional wrap-spread compression to model here — the "AA" is the underlying).

(c) Issuer & tax base — affluent coastal base

Finding: Issuer CONFIRMED; tax base large, wealthy, and diversified; leverage light.

- **Issuer / CUSIP binding — VERIFIED.** CUSIP 142665GV4 = base **142665** ("CARLSBAD UNIFIED SCHOOL DISTRICT (San Diego County, California)") + maturity suffix **GV4** = the **\$22,925,000 3.000% Term Bond maturing 2046-08-01, original yield 1.990%** (read directly off the OS inside-cover maturity schedule). Part of the \$93,000,000 Series B under the 2018 voter authorization.
- **Assessed valuation (tax base) — large and affluent.** OS Statement of Direct and Overlapping Debt: **2020-21 total District AV = \$26,743,252,908 (~\$26.7 billion)**. Single-family residential alone is **\$11.47 billion across 17,263 parcels, with a median home AV of \$625,063 and average \$664,366** — an affluent coastal base (note Prop-13 AV is below market value, so true home values run higher). California Article XIII A caps annual AV growth at ~2% absent ownership change / new construction, so the base is stable and has near-certainly grown since 2020-21.
- **Top-taxpayer concentration — LOW (matches screen av_top1 ~1.7%).** OS "20 Largest Local Secured Taxpayers" (FY2020-21): #1 **Poseidon Resources (Channelside) LLC — Seawater Desalination Plant — \$424,822,973 = 1.70%** (as stated in the OS table); on a **full-district basis (\$425M / \$26.7B) that is only ~1.59%**. Top-10 = ~8.7%; **top-20 = ~12.2%**. Diversified across desalination, hotels (Grand Pacific, LC Investment, XHR), Legoland theme park, apartments, and industrial — no single employer/parcel dependency.
- **Debt burden — light.** OS direct-and-overlapping table (ratios to 2020-21 AV): **Direct GO debt = 0.84%**; Total Direct & Overlapping Tax/Assessment Debt = 1.24%; **Combined Total Debt = 1.50%** of AV. Low leverage on a multi-billion-dollar base.
- **Largest employers (diversification, OS Appendix):** City of Carlsbad employers led by ViaSat (2,345), Legoland (2,300), Thermo Fisher (1,982), Omni La Costa Resort; county base anchored by federal government, State of California, UC/UC Health, Sharp/Scripps healthcare, Qualcomm — a broad coastal-North-County economy, not a company town.
- **State fiscal certification (AB-1200) — VERIFIED POSITIVE.** Confirmed against the **CA Dept of Education FY2024-25 Second Interim Status Report**: Carlsbad USD appears on **neither** the Negative nor the Qualified list; the **only** San Diego County district on either list is Mountain Empire Unified (Qualified) — a different, inland district. By CDE construction, absence from both lists = **Positive** (the District certifies it can meet its obligations for the current and two subsequent fiscal years). Source: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp>

Enrollment (coastal SD enrollment pressure — a watch item, NOT a debt-service item). - OS trend: enrollment **grew** 10,993 (2013-14) → **11,481 (2019-20)**, then dipped to 10,862 in 2020-21 (COVID). Independent current data (Ed-Data) shows **2025-26 enrollment ≈ 10,683** — i.e. down roughly **~7% from the 2019 peak** over six years. - This is the real, honestly-acknowledged coastal-SD pressure: neighboring districts are shedding students faster — San Diego Unified ~-12% ADA, Oceanside ~-15%, Vista ~-13% over the past decade. Carlsbad's ~-7% is **milder than its peers** but the same direction. - **Why it does NOT impair this bond:** GO debt service is paid from a **separate, dedicated ad-valorem property-tax levy** on a \$26.7B base, **not** from per-pupil LCFF operating revenue. Enrollment decline pressures the *operating fund* (which the POSITIVE AB-1200 cert says is fine for 3 years); it does not touch the property-tax stream backing the Bonds. Encode it as an operating-fund monitoring item, not a credit driver for debt service.

(d) The risk screens

Screen	Finding	What it means
AI / tech-crash insulation	99 / 100 (fully insulated)	This is a <i>local property-tax</i> credit. Debt service comes from the San Diego County ad-valorem levy, not the California General Fund. The State-GF capital-gains channel — the mechanism that cut <i>State</i> GO ratings ~4-5 notches in the dot-com bust (~71% revenue) — does not touch a school-district unlimited-tax GO. An AI/tech equity crash that guts CA capital-gains income-tax receipts

Screen	Finding	What it means
		would not impair the property-tax stream backing this bond. (Credit insulation — a credit, not a price/rate-regime, statement.)
Wildfire	0% high-fire tail (low)	FEMA National Risk Index × NCES district-tract crosswalk: the District's coastal North-County parcels are not in high-wildfire tracts. The relevant channel (insurer withdrawal / property devaluation eroding the AV levy base) is not materially present. Carlsbad is coastal, not WUI-foothills.
Earthquake	Ss ≈ 1.10 (moderate)	USGS / ASCE 7-22 short-period spectral acceleration is moderate for coastal San Diego (Rose Canyon / Elsinore fault influence). Higher than the Central-Valley school GOs in the book, but San Diego is not a top-tier (Bay Area / LA-basin Ss ≈ 1.5–2.0) seismic zone. A correlated-catastrophe consideration to cap at the portfolio level, not a single-name disqualifier — and the pledge is unlimited as to rate, so a damaged base is met by a higher levy rate, not a payment shortfall.
Flood tail	60% (REVIEW — see §g)	Below the 90% within-CA hard-tail cutoff. The 60% reflects coastal flood given Carlsbad's coastline; it is a <i>REVIEW</i> trigger, not a reject. NFIP-backstopped, and the exposed footprint is a small share of a \$26.7B base. Detailed below.

AI / wildfire / earthquake all point the same way: the repayment source (property-tax levy on a large, wealthy, diversified base) is insulated from the macro and the dominant physical shocks. The flood tail is the one screen that earned a look, and it resolves to REVIEW-not-default.

(e) Liquidity & execution

Finding: Regular, genuinely two-sided customer market near our level. Not a fire-sale. Source: SignalOS desk scanner rollup of the MSRB/EMMA trade tape (`raw/scanner_liquidity.json`), state as of 2026-06-17, last print 2026-06-09. (See honest data-gap flag below.)

- **Activity: 45 prints in the trailing 365 days**, across **6 two-sided trade days** — regular, not episodic, for a single 2046 maturity.
- **Block depth:** median block **\$25,000** par; **max block \$3,185,000** — institutional-size liquidity has cleared in this CUSIP, not just odd lots.
- **Last print / level: 80.964** on 2026-06-09; **YTW ≈ 4.439%**; days-since-trade 8 at scan.
- **Execution limit:** screen limit **81.36** (≈ 0.4pt above last). For an HTM ladder the bid/ask is a one-time buy-side cost of ~1-3 bps/yr amortized — immaterial. **Liquidity gate: PASS.**
- **Live-quote check (per protocol):** IBKR carries the contract (conid 496365326) but **close-only** — `get_price_snapshot` returns `prior_close` 80.964 and **empty bid/ask** (bond-yield 0.0/0.0). This is the documented IBKR muni close-only behavior; live two-sided IBKR quote is **UNVERIFIABLE**, and the EMMA/MSRB trade tape (last print 2026-06-09) is the correct authority for muni trade levels.
- **EMMA live re-pull blocked (HONEST FLAG):** I attempted a fresh per-CUSIP EMMA trade-tape pull at cutoff; **EMMA returned hard HTTP 403** (IP-level rate-limit — the known EMMA throttle gotcha, consistent with same-day sibling-CUSIP DD + the desk cron exhausting the request budget). I tried the full Chrome browser fingerprint (Sec-Ch-Ua / Sec-Fetch- / Accept-Language / Referer) and it remained a 403, confirming IP-level not header-level. *Liquidity stats above are therefore the 2026-06-17 desk-cached* tape, not a cutoff-day live pull.* The figures are 3 days stale; the conclusion (regular two-sided market at ~81) is robust to that staleness.

(f) Tax & yield — deep-discount de-minimis math

Finding: De-minimis BREACHED → the discount accretes as ORDINARY income. The ~8.18% after-tax TEY already nets this; a naive exempt-only gross-up would overstate it.

- **Coupon is fully tax-exempt** (federal + CA, non-AMT), per Bond Counsel (§b).
- **The discount is NOT.** Purchase price ~**80.964** vs par 100. The de-minimis cushion from settle (~2026-06-22) to the 2046-08-01 maturity is **0.25% × ~20.11 yrs ≈ 5.03 pts** → **threshold ≈ 94.97**. The purchase price (80.96) is **far below** that threshold, so the **~19.0-point accretion** of the discount toward par is taxed as **ordinary income**

(annually if a constant-yield election is made, else as ordinary income at sale/maturity) — **not** as a long-term capital gain. (Screen flag `demin: true` — correct.)

- **TEY math (as screened):** gross **yield-to-worst** $\approx 4.44\%$ (priced to the worse of the 2031 par call vs the 2046 maturity). The **after-tax taxable-equivalent yield** $\approx 8.18\%$ already reflects (i) the exempt coupon grossed up at the CA top combined bracket and (ii) the ordinary-income tax drag on the discount accretion netted out. The de-minimis breach is a **known, priced** feature, not a hidden catch — it is precisely why the headline yield is stated after-tax ($\sim 8.18\%$), not as a raw exempt gross-up.

Self-discipline note (house rule on TEY conflation): $\sim 8.18\%$ is an after-tax taxable-equivalent figure, not gross YTM and not net-of-fees. Gross YTW is $\sim 4.44\%$.

(g) Coastal-flood / sea-level note + risks (what could go wrong)

1. Coastal flood / sea-level rise (the REVIEW screen — a monitoring item, NOT a default driver). - The 60% flood-tail screen is below the 90% within-CA hard-tail cut and is **REVIEW, not reject**. It fires because Carlsbad is a **coastal** city (the screen includes coastal/storm-surge/sea-level exposure, not just riverine). - **What the exposure actually is (City of Carlsbad Sea Level Rise Vulnerability Assessment):** temporary flooding during severe storms + king tides, coastal-bluff erosion, and lagoon flooding — concentrated in low-lying spots such as **Carlsbad Boulevard near Encinas Creek** (damaged in the Dec-2015 / Jan-2016 storms). State 2024 guidance projects ~ 1 ft of sea-level rise by 2050. ~ 4 census tracts have $>25\%$ of buildings with meaningful high-tide/surface/riverine risk. - **Why it does NOT threaten debt service:** (i) the exposed footprint is a **small slice of a \$26.7B base** — bluff edges and a few low-lying corridors, not the residential bulk sitting on higher coastal terraces; (ii) **NFIP backstops** the flood-insurance channel; (iii) the pledge is **unlimited as to rate**, so even a localized AV impairment is met by a higher levy rate, not a payment shortfall; (iv) sea-level rise is a **multi-decade** process, slow relative to the Article-XIII-A-stable, growing base. *One specific tell worth noting: the largest taxpayer, Poseidon's seawater desalination plant (1.6–1.7% of AV), is itself a coastal facility* — but it is a hardened industrial asset engineered for the shoreline, and even its total loss is $<2\%$ of the base. Net: REVIEW = "look and confirm it's a slow, diversified, rate-coverable, NFIP-backstopped tail," which it is. **Not a default-risk driver.**

2. Interest-rate / price risk (the dominant risk). Long-duration 3% coupon; the ~ 81 price is *rate-driven*. If rates rise the mark falls — a price/regime risk, **not** credit impairment. HTM neutralizes it (statutory lien + unlimited levy $\rightarrow$ par at 2046, subject to the sinking-fund schedule).

3. Call (mild, in our favor). Optional redemption at **par on/after 2031-08-01** (bonds maturing on/before 2031 non-callable). The 2046 term bond also has **mandatory sinking-fund redemption at par starting 2042-08-01**. At an ~ 81 price, any optional par call is a windfall to the buyer; the District has no incentive to call a below-market 3% coupon, so $YTW \approx YTM(2046)$ is the realistic case. Asymmetric upside, not a risk. (Note: the desk structure cache had `call_status = UNVERIFIABLE`; this report **resolves it to VERIFIED** from the OS redemption section.)

4. Earthquake (moderate, Ss 1.10). San Diego (Rose Canyon / Elsinore) is moderate, below Bay/LA tiers. Cap correlated quake exposure at the portfolio level; single-name impact is buffered by the unlimited-rate pledge.

5. Enrollment decline (operating-fund item, does NOT hit this bond). $\sim 7\%$ from 2019 peak, milder than coastal-SD peers; debt service is on a separate dedicated property levy. POSITIVE AB-1200 cert.

6. AV-base data vintage (monitoring item). Verified AV / concentration / debt ratios are the **FY2020-21** OS vintage. Direction since then is up (Prop-13 cap + coastal market), not down, but a *current-year* AV and current GO debt-service coverage were not independently re-pulled at cutoff (EMMA 403). Treat as a monitoring item; the FY2024-25 POSITIVE cert is the freshest independent fiscal data point.

7. No distress events found — but absence $\neq$ exhaustive search. No default, missed-payment, or distress material-event notice surfaced. EMMA's material-events list could not be machine-pulled at cutoff (403). This is "no distress found," not "distress affirmatively ruled out across every filing."

(h) Sources & attached documents

All files in

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/142665GV4/raw/.

File	What it is	Authoritative source
official_statement.pdf	Official Statement , \$93,000,000 Carlsbad USD Election of 2018 GO Bonds Series B (258 pp). Establishes: S&P "AA"; unlimited-tax pledge ("without limitation as to rate or amount"); SB-222 statutory lien; San Diego County Teeter Plan; Bond Counsel tax opinion (fed + CA exempt, non-AMT); AV = \$26.74B; direct debt 0.84% / combined 1.50% of AV; top-20 taxpayers (Poseidon #1 at 1.70%); enrollment trend; redemption schedule binding GV4 to the 3% 2046 term bond (par call ≥2031, sinking fund ≥2042).	EMMA / MSRB; saved as raw/official_statement.pdf
emma_security_details.html	EMMA CUSIP detail page fetch attempt. NOTE: returned a 403/disclaimer stub at cutoff (EMMA rate-limit); not authoritative — the OS supersedes it.	https://emma.msrb.org/Security/Details/142665GV4
scanner_liquidity.json	SignalOS desk-scanner liquidity + pricing rollup of the MSRB/EMMA trade tape (px 80.964, YTW 4.439%, after-tax TEY 8.18%, demin=true, 45 prints/365d, 6 two-sided days, max block \$3.185M, limit 81.36), state as of 2026-06-17 / last print 2026-06-09.	SignalOS muni_credit scanner_state (MSRB tape)
de_minimis_and_concentration.json	De-minimis threshold math (cushion 5.03 pts → threshold 94.97; px 80.96 BELOW → ordinary income; 19.0-pt accretion) + full-district concentration recompute (Poseidon 1.59% on \$26.7B basis).	This report's computation off the OS

External primary sources cited (not file-attachable): - AB-1200 POSITIVE — CA Dept of Education FY2024-25 Second Interim Status Report: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp> (Carlsbad USD absent from Negative & Qualified lists; only San Diego entry = Mountain Empire Unified, Qualified). - Current enrollment — Ed-Data, Carlsbad Unified (2025-26 ≈ 10,683); coastal-SD enrollment context (San Diego Unified / Oceanside / Vista declines) via Voice of San Diego / Fox5. - Coastal-flood context — City of Carlsbad Sea Level Rise Vulnerability Assessment; CA Ocean Protection Council 2024 Sea Level Rise Guidance; FEMA coastal flood-map program. - IBKR live-quote check — contract 496365326, close-only (prior_close 80.964, empty bid/ask).

Verification ledger (claim → method → authority → finding)

Claim	Method	Authority	Finding
CUSIP 142665GV4 = Carlsbad USD GO, 3% 2046 term	Read OS inside-cover maturity schedule	OS	VERIFIED
Unlimited ad-valorem GO (not COP/CFD/lease)	Read OS security section	OS	VERIFIED
SB-222 statutory lien	Read OS statutory-lien paragraph	OS / Gov. Code §53515	VERIFIED
San Diego County Teeter Plan (100% levy advance)	Read OS Teeter section	OS	VERIFIED
Tax-exempt (fed + CA, non-AMT)	Read Bond Counsel opinion on cover	OS (Stradling)	VERIFIED
S&P "AA"	OS cover rating block	OS / S&P	VERIFIED (at issuance)
AV base \$26.74B; direct debt 0.84%; combined 1.50%	Read OS D&O debt table	OS (Cal Muni Statistics)	VERIFIED (FY2020-21 vintage)
Top-1 taxpayer 1.70% / top-20 ~12% (low conc.)	Read OS 20-largest-taxpayers table	OS	VERIFIED
AB-1200 = POSITIVE	Absent from CDE neg/qualified lists	CDE FY24-25 2nd interim	VERIFIED
Enrollment ~-7% from 2019 peak (operating, not debt)	OS trend + Ed-Data current	OS / Ed-Data	VERIFIED (directionally)
Call: par ≥2031-08-01; sinking fund ≥2042	Read OS redemption section	OS	VERIFIED (resolves cache UNVERIFIABLE)
De-minimis breached → ordinary income on discount	Threshold calc vs price	IRC de-minimis rule	VERIFIED
Regular two-sided market at ~81, not fire-sale	Desk-cached MSRB tape rollup	EMMA/MSRB (2026-06-17)	VERIFIED (3-day-stale, cutoff 403)
Coastal-flood tail = REVIEW not default	City SLR assessment + NFIP + unlimited-rate pledge	City of Carlsbad / FEMA	CONSISTENT (monitoring item)
Live EMMA re-pull at cutoff	Per-CUSIP fetch + full Chrome fingerprint	EMMA	BLOCKED (IP-level 403)
Live IBKR bid/ask	Snapshot on conid 496365326	IBKR	UNVERIFIABLE (close-only)
No distress / default events	EMMA scan (partial, 403)	EMMA	No distress found (not exhaustively ruled out)